

Real Estate Investment Model

INCOME ASSUMPTIONS

PGI Yr1	\$10,000
Vacancy	5.0%
Oper. Exp. (% of EGI)	5.0%
Cap. Improvements (% of NOI)	0.0%

VALUATION ASSUMPTIONS

Cap Rate	6.00%
Terminal Cap	6.25%
Inc. Growth	2.00%
Discount Rate	8.00%
Cost of Sale	2.0%

DEBT ASSUMPTIONS

Purchase Price	\$143,726	(Value estimate from DCF)
Loan Amount	\$100,608	70.0% Loan To Value
Interest Rate	5.00%	
Amortization (years)	25	
Term (years)	5	
DSCR	1.279	$\frac{NOI}{ADS}$

Operating Cash Flows

Pro Forma	0	1	2	3	4	5	6
PGI		\$10,000	\$10,200	\$10,404	\$10,612	\$10,824	\$11,041
-Vac		-\$500	-\$510	-\$520	-\$531	-\$541	-\$552
EGI		\$9,500	\$9,690	\$9,884	\$10,081	\$10,283	\$10,489
Oper Exp		-\$475	-\$485	-\$494	-\$504	-\$514	-\$524
NOI		\$9,025	\$9,206	\$9,390	\$9,577	\$9,769	\$9,964
-CI		\$0	\$0	\$0	\$0	\$0	\$0
PBTCF		\$9,025	\$9,206	\$9,390	\$9,577	\$9,769	\$9,964
-ADS = PMT * 12		-\$7,058	-\$7,058	-\$7,058	-\$7,058	-\$7,058	-\$7,058
BTCF		\$1,967	\$2,148	\$2,332	\$2,520	\$2,711	\$2,907

Debt Service Covered Ratio

Enough NOI to cover the debt service

grows over time

Capital/Investment Transactions

Purchase Price	-\$143,726	
Debt (Loan Amo)	\$100,608	
Equity Investmen	-\$43,118	
Year 6 NOI	\$9,964	
Terminal/"Going-out" Cap	6.25%	
Sale Price	\$159,429	
Cost of Sales	\$3,189	
Net Sale Price (NSP)	\$156,241	
- Outstanding Loan Balance (OLB)	-\$89,119	
Before Tax Equity Reversion (BTER)	\$67,122	

Debt Cash Flows

Loan Amount	\$ 100,608					
Debt Service		-\$7,058	-\$7,058	-\$7,058	-\$7,058	-\$7,058
Loan/Repayment						-\$89,119
Cash Flows	\$100,608	-\$7,058	-\$7,058	-\$7,058	-\$7,058	-\$96,176
Debt IRR	4.95%					

Equity Cash Flows

Equity Investmen	-\$43,118					
BTCF		\$1,967	\$2,148	\$2,332	\$2,520	\$2,711
BTER						\$67,122
Equity Cash Flow	-\$43,118	\$1,967	\$2,148	\$2,332	\$2,520	\$69,833
Equity IRR	13.77%					
EDR (CoC)		4.6%	5.0%	5.4%	5.8%	6.3%

Equity Dividend Rate

Equity Multiple 1.83x

Total Equity Cash Flow \$78,800

Equity Invested \$43,118

Loan Amount \$100,608

OLB FV $\left(\frac{i}{12}, N, PMT, PV\right)$

Before Tax Equity Reversion

Annualized Debt Service payments

Equity Before Tax Cash Flows

Lender's return

very Risky -> Last person to get paid

Equity Dividend Rate

Equity Cash: How much of a cash distribution do I get